

MERRYLAND HIGH SCHOOL ENTEBBE

HOLIDAY WORK 2025

SENIOR THREE

ITEM 1

Kamba has received UGX 20 million from his father as a gift for being an honest son. He would like to use the funds to start producing maize flour for sale and formalize it to avoid its closure in future, however lacks knowledge about the requirements needed for successful operation of that exercise. He would like to develop a suitable plan for production of the business products but has failed after many trials to make it. He is seeking for your technical assistance to enable him start well.

TASK

Using your entrepreneurship skills, to;

- a) guide Kamba on the requirements needed before formalization of his business is done.
- b) Develop a suitable plan for production of the business products.

ITEM 2

Mugisha operates a chips business in Mpigi town. He buys poor varieties of Irish potatoes expensively from Jackie food stores and sometimes finds it difficult to transport them to his business, because he does not know how to select the supplies. He also buys used cooking oil for frying chips from producers of doughnuts. His customers are threatening to leave his business if he does not improve the quality of his chips.

He wants to expand his customer base by creating awareness for his business products beyond his community but does not know the strategies to use to do it.

He is now seeking for your assistance on how to select suitable supplies and create awareness for his products.

TASK

- a) With justification, select suitable supplies for the business.
- b) Guide Mugisha on the strategies to use in creation of awareness about the products.

ITEM 3

Set light onion farmers in Kisoro district was formed by 60 farmers 3 (three) years ago. Members contribute weekly savings and access (get) loans for seedlings, fertilizers and labour. Initially, the SACCO progressed thus helping members to increase onion production. However, in the last one year, loan defaults have risen greatly, membership has dropped to 28 and the SACCO treasurer has reported inconsistencies in the financial records while the chairperson has been accused of poor leadership and offering loans at high interest rates in addition to failure to cause the election of new SACCO leadership after the expiry of his term of office.

Some members are considering withdrawing their savings fearing the SACCO might collapse. The members are now seeking for technical advise on how to make their SACCO better and have come to you for assistance/

TASK

- a) Guide them on the suitable ways the SACCO should be operated.
- b) Demonstrate strategies that could be implemented to revive the declining SACCO.

SECTION B

ITEM 4

Satrine deals in second hand shoes in Kampala City. She records her transactions in a disorganized way in her diary.

On 31 December 2024, she tried to check the arithmetic accuracy of her records but failed because she mixed up different balances without following the correct principle as below.

Details	DR (UGX)	CR (UGX)
Cash at hand		1,200,000
Cash at bank		4,800,000
Creditors	2,500,000	
Purchases	12,500,000	
Sales		16,000,000
Machinery		8,000,000
Capital	8,000,000	
Net profit	3,500,000	
Total	26,500,000	30,000,000

Due to failure of the totals to agree, she cannot continue with determining the financial position of her business. She is now worried of what to do and has hired you for assistance.

TASK

Use your entrepreneurship skills to;

- a) Check the arithmetic accuracy of her business records
- b) Determine the financial position of Satrine's business.

ITEM 5

Good Luck owns a hardware in Soroti City. He has applied for a loan in Excel bank and has been requested to present records that show the arithmetic accuracy of his ledgers and a statement of comprehensive income as at 31/12/2024.

On presenting the following records to the manager of the bank, it was refused on the basis that it was not what was requested.

SSSS	<table><tr><th>Details</th><th>UGX</th></tr><tr><td>Purchases</td><td>85,000,000</td></tr><tr><td>Insurance</td><td>1,870,000</td></tr><tr><td>Sales</td><td>97,800,000</td></tr><tr><td>Discount received</td><td>5,000,000</td></tr><tr><td>Purchases returns</td><td>420,000</td></tr><tr><td>Rent</td><td>2,000,000</td></tr></table>	Details	UGX	Purchases	85,000,000	Insurance	1,870,000	Sales	97,800,000	Discount received	5,000,000	Purchases returns	420,000	Rent	2,000,000
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He is now confused. He is seeking for your professional guidance in as far as what was requested of him so that he can get a loan.

TASK

Use your skills to;

- (a) Check the arithmetic accuracy of Good Luck's hardware.
- (b) Prepare a statement to show comprehensive income of the hardware.

SET 2

ITEM 1

Musumba got a first class degree from Kyambogo University. His Aunt Daphine rewarded him with UGX 5 million. Calvin is thinking of using the funds to start a poultry business or a pork joint as a sole trader, but he does not know the basis for selecting the best among the two ideas. His target is to allocate that money on working capital requirements as a strategy to ensure efficiently operation of daily activities .In addition, but he has inadequate skills to that effect.

He has contacted you for assistance.

TASK

- a)With justification, guide Calvin to select a suitable business opportunity.
- b)Come up with a budget for the selected business opportunity.

ITEM 2

Fred operates a restaurant near his home town. Last month he got feedback from his customers complaining that the employees take long to serve them. Sometimes the food

is burnt and smelling smoke of fire wood. When some customers are served and they do not eat the food, they are forced to pay for it. At times, some of the orders are not prepared, thus customers go back without food. The restaurant is located 2 km from the town centre which makes it difficult for some customers to go there. Some customers who are well known by the employees eat the food on credit. However, Fred observed that the restaurant does not have any records of the business. Fred is wondering whether to close the business or continue with it due to poor performance of a restaurant..

TASK

- a) Guide Fred on the business records he should keep.
- ii) Importance of taking business records.
- b) Use your marketing skills to advise Fred on ways of reviving his business.

ITEM 3

Jonan owns a hair salon in a busy trading center serving both males and females from near and far away from his saloon. In his salon he uses a pair of scissors / razorblade for shaving the hair, sun dries wet heads of customers, has appointment book for customers, receives only cash for his services, and people from far send letters to the salon for booking which makes his services delay. He only get feedback from customers who come to his salon physically.

In addition, the business has not been registered for Tax identification number (TIN) and Jonan does not file returns.

Last week URA visited his salon and found out that he had no records to base on to be assessed a tax and threatened to close his salon.

Jonan is thinking of using technology to solve the business challenges and also comply with the URA guidelines, but does not know what to do. He has therefore come to you for assistance.

TASK

Guide Jonan on the;

- c) technology to use to solve business challenges.
- d) elements of tax compliance needed for his business not to be closed by URA.

SECTION B

ITEM 4

Musoke operates a wholesale shop in Masaka City as a sole proprietor. He has inadequate skills in issuing documentary evidence for different transactions. On 28/12/2024 he sold 10 bags of sugar to “Excel bakery” on credit and issued a receipt which the buy refused. Musoke also wants to determine the profitability of his business as at 31/12/2024 using the following information in order to prepare for how to begin the New Year 2025.

Details	(UGX)
Gross profit	46,000,000
Rent received	495,000

Salaries	4,200,000
Insurance	6,900,000
Carriage outwards	2,000,000
Transport	8,000,000

Musoke wants to demand payment from “Excel bakery” after issuing a suitable document and also determine the profit or loss for the business but is confused of how to do it.

He has therefore approached you for assistance.

TASK

- c) Write a suitable documentary evidence to “Excel bakery”.
- d) Prepare a statement for profit or loss of the business.

ITEM 5

Jesh records her transactions for her carpentry workshop on pieces of papers. She has been requested by a donor to present a statement that shows business Arithmetic accuracy and a corresponding statement of financial position as at 31/12/2024 in order to receive a donation.

She has the following balances.

Details	UGX
Buildings	30,000,000
Bank overdraft	6,400,000
Debtors	15,000,000
Cash at hand	8,000,000
Creditors	3,850,000

Jesh is confused of what to do because she has limited skills and is scared that she may miss the donation if she does not meet the requirements of the donor.

She has approached you for help.

TASK

- (c) Check the arithmetic accuracy.
- (d) Determine the financial position of Jesh’s carpentry workshop.

Happy holidays